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Introduction

This comment is submitted in response to the National Science Foundation's Request for Information (RFI) on the Development of an Artificial Intelligence (AI) Action Plan. As a small business with extensive experience implementing innovative AI solutions for federal agencies and participating in collaborative innovation initiatives like the Veterans Health – MIT Hacking Medicine program, BLEN offers practical recommendations to enhance America's AI leadership through strategic integration of small businesses and public-private partnerships in federal AI initiatives.

The AI Action Plan presents a critical opportunity to strengthen America's AI ecosystem by leveraging collaborative models that bring together federal agencies, academia, small businesses, and technology companies. Our recommendations draw from both established research on small business contributions to technology innovation and our direct experience with successful public-private partnerships in federal AI implementation.

About BLEN

BLEN, Inc. is a small business with over 19 years of experience delivering digital transformation solutions to federal agencies. Our core capabilities span three key areas:

1. **Emerging Technologies:** We implement Robotic Process Automation (RPA), Artificial Intelligence (AI)/Machine Learning (ML), advanced data analytics, and enterprise Large Language Models for government clients.

2. **IT Modernization:** We specialize in migrating legacy systems to cloud platforms including AWS, Azure, and Google Cloud, employing DevSecOps methodologies for secure, efficient development.
3. **Human-Centered Design:** Our team creates intuitive digital experiences using responsive design principles, focusing on 508 compliance and user-centric interfaces across web and mobile platforms.

BLÉN has successfully delivered transformative technology solutions for numerous federal agencies, including HHS, GSA, USPTO, and the White House. Our past performance includes modernizing GSA's Fleet Management system that manages over 650,000 vehicles, implementing innovative AI solutions for the VA, and developing enterprise-scale, mission-critical platforms for HHS that manage billions in grant funding. As a small business, we bring agility, specialized expertise, and innovative approaches to federal technology challenges.

Small Business Advantages in Federal AI Innovation

Small businesses bring unique and valuable contributions to federal AI development that complement capabilities of larger firms:

1. **Specialized Innovation Efficiency:** Small firms produce more patents per employee than larger firms, and these patents are associated with higher impact, growth, and profitability.¹ In AI specifically, small businesses excel at translating cutting-edge research into practical applications, bringing agility to implementation.
2. **Economic Force Multipliers:** Small businesses contribute approximately 44% of U.S. GDP and create roughly two-thirds of net new jobs.² Integrating small AI firms into federal initiatives amplifies economic impact while diversifying the AI supply base beyond a handful of tech giants.
3. **Nimble Solution Development:** Small businesses can experiment rapidly and take risks that larger organizations might avoid. This ability to pivot quickly allows them to develop specialized AI applications that address specific government challenges with greater precision and contextual understanding.

¹ "Small businesses produce more patents per employee than larger ones, with higher impact." Source: Empowering Small Businesses in AI Development and Supply, p. 1.

² "America's small businesses contribute about 44% of U.S. GDP and create roughly two-thirds of net new jobs." Source: Empowering Small Businesses in AI Development and Supply, p. 1.

4. **Commercialization Accelerators:** Small firms excel at bridging the gap between research and practical applications. They effectively transform academic concepts into deployable solutions, a critical factor for government agencies seeking to implement AI innovations.

However, small businesses face significant challenges when contributing to federal AI initiatives:

1. **Procurement Barriers:** Lengthy timelines and complex compliance requirements deter many small AI companies from pursuing government contracts.³ Current procurement processes favor established contractors with specialized government business units.
2. **Resource Limitations:** The exponential increase in computing requirements for advanced AI development disproportionately impacts small businesses. Since 2012, computing requirements for leading AI models have doubled approximately every 3.4 months.⁴
3. **Data Access Constraints:** Many small AI developers struggle to access large, high-quality datasets needed for model development, particularly in specialized government domains.

Public-Private Partnerships: Veterans Health – MIT Hacking Medicine as a Model

Our team participated in the Veterans Health – MIT Hacking Medicine program last year. The program provides an excellent model for how public-private partnerships can drive AI innovation in government. This first-of-its-kind collaborative program united experts from VA, academia, and the private sector to rapidly design solutions to critical healthcare challenges facing Veterans.

Collaborative Structure and Impact

The Veterans Health – MIT Hacking Medicine program, hosted by James A. Haley Veterans' Hospital in collaboration with the Veterans Health Administration's Innovation

³ "Lengthy timelines and complex, compliance-heavy proposal requirements are among the top factors deterring startups from bidding on government AI contracts." Source: Empowering Small Businesses in AI Development and Supply, p. 2.

⁴ "The cost of computing for state-of-the-art AI has been rising exponentially, with the compute requirements for leading AI models doubling every 3.4 months between 2012 and 2018." Source: Empowering Small Businesses in AI Development and Supply, p. 3.

Ecosystem, Microsoft, and MIT Hacking Medicine, demonstrates the power of bringing together diverse stakeholders:

1. **Cross-Sector Collaboration:** The program united 217 participants from 28 states, including innovators, scientists, doctors, nurses, engineers, researchers, UX/CX designers and healthcare futurists to address complex challenges in Veterans' healthcare.⁵
2. **Problem-Focused Innovation:** Teams focused on three critical VA priorities: connecting Veterans to the soonest and best care, preventing Veteran suicide, and improving hiring processes—all areas where AI solutions can create transformative impact.⁶
3. **Rapid Development Model:** The hackathon format enabled teams to move quickly from idea to concept, with winning teams advancing to a "Makeathon" phase to develop working prototypes—dramatically accelerating the typical government innovation timeline.⁷

Public-Private Synergy

The program showcased how different sectors can contribute complementary strengths:

1. **Federal Agency Expertise:** VA leadership and subject matter experts provided deep domain knowledge and understanding of Veteran-specific needs.

⁵ "The program brought together participants from 28 states." Source: Veterans Health – MIT Hacking Medicine 2024: Transformative Innovation through Public-Private Partnership. VA Tampa Health Care.
<https://www.va.gov/tampa-health-care/stories/veterans-health-mit-hacking-medicine-2024-transformative-innovation-through-public-private-partnership/>

⁶ "Teams focused on three critical VA priorities: connecting Veterans to the soonest and best care, preventing Veteran suicide, and improving hiring processes." Source: Veterans Health – MIT Hacking Medicine 2024: Transformative Innovation through Public-Private Partnership. VA Tampa Health Care.
<https://www.va.gov/tampa-health-care/stories/veterans-health-mit-hacking-medicine-2024-transformative-innovation-through-public-private-partnership/>

⁷ "Winning teams from the three categories will advance to a Makeathon, where they will transform their ideas from the concept stage to creating a working prototype." Source: Veterans Health – MIT Hacking Medicine 2024: Transformative Innovation through Public-Private Partnership. VA Tampa Health Care.
<https://www.va.gov/tampa-health-care/stories/veterans-health-mit-hacking-medicine-2024-transformative-innovation-through-public-private-partnership/>

2. **Technology Partner Resources:** Microsoft contributed technical resources and expertise in AI implementation.
3. **Academic Innovation Methodology:** MIT Hacking Medicine brought structured approaches to healthcare innovation.
4. **Small Business Agility:** Small businesses like BLEN participated alongside larger entities, contributing implementation expertise and specialized knowledge.

As VHA Innovation Ecosystem Director Kit Teague noted, "We need people from industry, academia, nonprofits, Veteran Service Organizations and entrepreneurs with new ideas and tools. Hackathons are an essential tool to bring everybody together quickly."⁸

Results and Scalability

2024 Veterans Health – MIT Hacking Medicine Winners included teams that developed AI-powered medication reconciliation solutions, improved contrast-enhanced CT scan order processes, and optimized provider scheduling using AI algorithms. In the mental health track, teams created dynamic Veteran-centric safety plans and multi-modal AI analysis tools to support suicide prevention efforts. For improving hiring processes, winners developed AI tools to accelerate candidate evaluation while reducing bias.⁹

With participant satisfaction ratings of 8.9 out of 10, and 92 out of 93 participants indicating interest in future participation, the model demonstrated strong engagement and effectiveness.

This collaborative approach can be replicated across other federal agencies to address various AI implementation challenges, creating an ecosystem that combines government mission knowledge with private sector and academic innovation capabilities.

⁸ "We need people from industry, academia, nonprofits, Veteran Service Organizations and entrepreneurs with new ideas and tools. Hackathons are an essential tool to bring everybody together quickly." - Kit Teague, Executive Director of VHA Innovation Ecosystem. Source: Veterans Health – MIT Hacking Medicine 2024: Transformative Innovation through Public-Private Partnership. VA Tampa Health Care.
<https://www.va.gov/tampa-health-care/stories/veterans-health-mit-hacking-medicine-2024-transformative-innovation-through-public-private-partnership/>

⁹ "2024 Veterans Health – MIT Hacking Medicine Winners" section detailing innovative AI solutions across healthcare access, mental health, and hiring process challenges. Source: Veterans Health – MIT Hacking Medicine 2024: Transformative Innovation through Public-Private Partnership. VA Tampa Health Care.
<https://www.va.gov/tampa-health-care/stories/veterans-health-mit-hacking-medicine-2024-transformative-innovation-through-public-private-partnership/>

Recommendations for the AI Action Plan

Based on research evidence and our experience with successful collaborative models like the Veterans Health – MIT Hacking Medicine program, we recommend the following actions to enhance America's AI leadership through small business integration and public-private partnerships:

1. *Streamline Federal AI Procurement*

Recommendation 1.1: Expand and institutionalize small business-friendly contracting programs across federal agencies.

Federal agencies should simplify solicitation requirements, shorten award timelines, and carve out pilot project funding specifically for emerging AI firms.¹⁰ The DoD's Joint AI Center's Tradewind acquisition platform provides an excellent model, enabling the award of prototype AI contracts in under two months—a dramatic improvement over traditional timelines.¹¹

Recommendation 1.2: Create civilian equivalents of successful DoD AI acquisition vehicles.

The AI Action Plan should establish civilian counterparts to programs like DoD's Tradewind and the Defense Innovation Unit (DIU) to streamline AI acquisition for non-defense agencies. These mechanisms help match mission needs with commercial technology providers while reducing participation barriers for small companies.¹²

Recommendation 1.3: Strengthen SBIR/STTR funding for AI initiatives.

The Small Business Innovation Research (SBIR) program provides a proven model for small business inclusion. The AI Action Plan should direct agencies to increase

¹⁰ "Adopting agile procurement methods (like other transaction authorities or challenge-based acquisitions) can lower entry barriers for startups." Source: Empowering Small Businesses in AI Development and Supply, p. 2.

¹¹ "The Department of Defense's Joint AI Center launched Tradewind, an AI-focused acquisition platform that revamps the procurement process for AI solutions. Tradewind gives DoD experts quick access to tech innovators and enables awarding prototype AI contracts in under two months." Source: Empowering Small Businesses in AI Development and Supply, p. 2.

¹² "Another initiative, the Defense Innovation Unit (DIU), helps match DoD's mission needs with commercial technology providers, reducing the cost and effort for small companies to partner with the military." Source: Empowering Small Businesses in AI Development and Supply, p. 2.

SBIR/STTR funding for AI topics and streamline the application process to enable more startups to contribute to federal research priorities.¹³

2. Reduce Technical Barriers for Small AI Businesses

Recommendation 2.1: Accelerate implementation of the National AI Research Resource (NAIRR).

The NAIRR will provide AI researchers—including those in startups and small firms—access to computing resources, high-quality data, and test environments. The AI Action Plan should fully fund and expedite NAIRR implementation, with small businesses designated as a key user group.¹⁴

Recommendation 2.2: Create incentives for infrastructure sharing.

The government should incentivize existing infrastructure holders in industry and academia to support startups. Tax incentives could encourage cloud providers to donate or discount compute time to small AI companies,¹⁵ while agencies could broker partnerships with national laboratories and universities to open supercomputing resources during off-peak times.¹⁶

Recommendation 2.3: Expand federal data availability for AI development.

The Administration should prioritize full implementation of the OPEN Government Data Act, with clear guidance to agencies on releasing useful datasets for AI R&D. Government data—from scientific research to transportation, health, and economic information—should be made openly accessible in machine-readable formats to enable model development without costly proprietary data collection.

¹³ "Small Business Innovation Research (SBIR) program provides a model for inclusion: SBIR competitively funds R&D by U.S. small businesses and incentivizes them to commercialize the results." Source: Empowering Small Businesses in AI Development and Supply, p. 2. <https://www.sbir.gov/>

¹⁴ "A flagship effort is the National AI Research Resource (NAIRR), a planned platform to offer AI researchers (including those in startups and small firms) access to computing resources, high-quality data, and test environments." Source: Empowering Small Businesses in AI Development and Supply, p. 3. <https://www.ai.gov/nairr/>

¹⁵ "Offering tax incentives (such as accelerated depreciation on R&D hardware) could encourage these companies to donate or discount compute time to small AI companies." Source: Empowering Small Businesses in AI Development and Supply, p. 3.

¹⁶ "Likewise, agencies can broker partnerships with national laboratories and universities to open up supercomputers to startups during off-peak times or through grant-supported allocations." Source: Empowering Small Businesses in AI Development and Supply, p. 3.

3. Foster Public-Private Partnerships for AI Innovation

Recommendation 3.1: Develop a nationwide AI hackathon program modeled after Veterans Health – MIT Hacking Medicine.

The AI Action Plan should establish a coordinated program of agency-specific AI hackathons following the successful Veterans Health – MIT Hacking Medicine model.¹⁷ These programs should unite federal agencies with academia, small businesses, and technology partners to rapidly address specific mission challenges through AI innovation. The program should include funding for follow-on "makeathon" phases to transform winning concepts into working prototypes and programual production systems.

Recommendation 3.2: Establish cross-sector AI innovation collaboratives.

Create formal collaborative bodies—comprising federal agencies, small businesses, academic institutions, and technology partners—that meet regularly to identify AI implementation opportunities, exchange knowledge, and co-develop solutions. These collaboratives should operate with streamlined partnership agreements that enable small businesses to participate without prohibitive legal barriers.

Recommendation 3.3: Launch targeted AI grand challenges for small businesses.

The AI Action Plan should fund grand challenges in key areas (for example, trustworthy AI in healthcare diagnostics or AI for disaster response) where numerous startups can compete for significant contracts or milestone-based funding. Such competitions spur innovation while providing winners a springboard for broader commercialization.

Recommendation 3.4: Establish regional AI innovation hubs focused on small business participation.

¹⁷ "Veterans Health – MIT Hacking Medicine is powered by public-private collaboration, to create an ecosystem for people, technology and community stakeholders to deliver transformative health care innovations for Veterans." Source: Veterans Health – MIT Hacking Medicine 2024: Transformative Innovation through Public-Private Partnership. VA Tampa Health Care. <https://www.va.gov/tampa-health-care/stories/veterans-health-mit-hacking-medicine-2024-transformative-innovation-through-public-private-partnership/>

Currently, over 90% of high-tech growth is concentrated in a few metropolitan areas on the coasts.¹⁸ The AI Action Plan should invest in regional AI hubs through a competitive selection process to seed tech ecosystems across the country, providing local startups with infrastructure, networking, and investor connections.

4. Address AI Talent Development Through Small Business Partnerships

Recommendation 4.1: Establish an "AICorp" program modeled after PeaceCorps.

Create a national AICorp program that recruits and trains AI specialists to serve for 2-3 year terms implementing AI solutions across federal agencies and underserved communities. This program would:

- Provide stipends and educational benefits similar to PeaceCorps
- Place AI specialists in teams at federal agencies to implement specific AI initiatives
- Partner with small businesses to provide technical mentorship and project guidance
- Create pathways for participants to transition to permanent government or private sector roles
- Build a network of AI practitioners with direct experience in public service applications

This initiative would simultaneously address federal AI talent shortages while creating a cadre of technologists with deep understanding of government challenges and public service motivation.

Recommendation 4.2: Create specialized immigration pathways for AI talent.

Implement the White House AI Executive Order's direction to streamline visas for experts in critical fields like AI.¹⁹ Prioritize AI-related talent in visa categories and reduce administrative backlogs to help startups recruit specialized personnel, with pathways to integrate international talent into the AICorp program.

¹⁸ "Currently, over 90% of high-tech growth is concentrated in a few metropolitan areas on the coasts." Source: Empowering Small Businesses in AI Development and Supply, p. 4.

¹⁹ "The recent White House AI Executive Order directs the use of existing authorities to streamline visas for experts in critical fields like AI so they can study, work, and stay in the U.S." Source: Empowering Small Businesses in AI Development and Supply, p. 3. Executive Order reference: <https://www.whitehouse.gov/presidential-actions/2025/01/removing-barriers-to-american-leadership-in-artificial-intelligence/>

Recommendation 4.3: Develop AI talent exchange programs between government and small businesses.

Create pathways for temporary assignments between government agencies and small AI businesses to cross-pollinate expertise and build relationships that facilitate future collaborations, modeled after the success of hackathons like the Veterans Health – MIT Hacking Medicine program.

Recommendation 4.4: Fund small business AI apprenticeship programs.

Direct funding to small AI businesses to develop specialized training and apprenticeship programs that build practical AI implementation skills, with particular emphasis on diverse candidates and underrepresented communities. These apprenticeship programs could serve as feeder programs for the AICorp initiative.

In Summary

Small businesses play a critical role in America's AI innovation ecosystem, bringing agility, specialized expertise, and entrepreneurial energy to federal initiatives. The AI Action Plan represents a unique opportunity to strengthen America's AI leadership by integrating small businesses throughout the AI supply chain and fostering collaborative public-private partnerships.

The Veterans Health – MIT Hacking Medicine program demonstrates the transformative potential of bringing together diverse stakeholders—federal agencies, academic institutions, large technology companies, and small businesses—to address complex challenges through AI innovation. By expanding this model across government, the AI Action Plan can accelerate the development and deployment of AI solutions that advance agency missions while creating opportunities for small business participation.

By adopting the recommendations outlined in this comment, the AI Action Plan can harness the innovative potential of small businesses while addressing key challenges in AI procurement, infrastructure access, public-private partnerships, and talent development. The collaborative hackathon approach, combined with streamlined procurement pathways and infrastructure access, provides a practical framework for implementation.

Incorporating these recommendations will not only enhance America's AI capabilities but also distribute economic benefits more widely, create tech growth in diverse communities, and foster a competitive AI marketplace that reflects American values of innovation and equal opportunity.